Atchison

October 2025

Monthly Market Update

Illuminating
the way forward

Key Events in October 2025

October – Global markets maintained positive momentum over the month!

- The Australian share market rose +0.4% over the month, on the back of the resources rally. Large cap stocks such as BHP, RIO and Fortescue were key contributors. The Australian small cap sector had an even stronger month returning +1.8%.
- The International share market rallied strongly, rising approximately +3%, as both developed and emerging markets (EMs) advanced, powered by optimism around semiconductors AI.
- U.S. equities recorded a sixth consecutive month of gains. The S&P 500 was up +2.3% and Russell 2000 up +1.8%, with gains driven by Tech alongside a narrow market breadth as mega-caps outperformed. Stronger Q3 earnings and cooler-than-expected inflation data helped offset uncertainty from the Federal government shutdown.
- Globally, notable performers included the Japan's Nikkei 225 (+16.7%), Taiwan's Wgt TAILEX (+9.3%), U.S. Nasdaq (+4.7%), and UK FTSE (+4%), as a result of easing trade concerns.
- EMs returned +5%, outperforming developed peers - driven by Korea (+24.5%) and Taiwan (+9.3%).
- China lagged over the month with the MSCI China Index falling -3.9% as trade and tariff concerns and soft economic data weighed heavily on sentiment.
- Japan, however, delivered a solid performance (MSCI Japan Index: +7.9%) with investors cheering the election of Japan's first female Prime Minister, Sanae Takaichi. Takaichi was considered to have the most expansionist fiscal and monetary agenda among five candidates in the Liberal Democratic Party race to replace hawkish Prime Minister Shigeru Ishiba.
- European equities also delivered gains, with the Euro Stoxx 600 Index adding +2.6% as investors welcomed recent Eurozone growth numbers showing that the economy expanded by 1.3% year-on-year in 3Q25, slightly above market expectations. Spain led the major economies, followed by the Netherlands and France.
- The Australian economy struggles with inflation, recording a 1% quarter-on-quarter and 3% year-on-year in the trimmed mean (after removing items with the largest price changes). As a result, further interest rate cuts are now unlikely this year.
- Australia's unemployment rate rose to 4.5%, domestic demand has started to recover, credit remains readily available, bank debts remain low, and house prices continue to move higher.
- The U.S. Federal Reserve (U.S. Fed) delivered another 25-basis-point cut in October to 3.75-4.00% as expected and announced the end of its balance sheet runoff to stabilise funding markets. While inflation remains above target, policymakers noted that risks continue to tilt toward the labour side of the mandate, supporting a continued shift toward neutral policy.
- A series of OpenAI deals were announced over the month, including an updated partnership with Microsoft, investments from NVIDIA, and chip agreements with AMD, Qualcomm, and Amazon. Overall, AI spending kept climbing as Amazon, Google, Microsoft, and Meta all reported Q3 CAPEX above expectations and raised forward guidance. Investors rewarded cloud-heavy firms for strong AI-driven growth, while Meta sold off on concerns over debt-funded spending and uncertainty over the return on their AI investment.
- The better-than-expected growth outcome eased pressure on the European Central Bank (ECB) to cut interest rates in the near term. As expected, the ECB left interest rates unchanged for a third consecutive meeting in October noting that inflation remains close to its 2% medium-term target.
- Benchmark Bitcoin (-3.9%) was down in October with Avalanche (-39.4%) and Cardona (-24.5%) losing large. Over the last ten months, Bitcoin (+17.3%) is solidly outperforming US stocks but is still trailing Gold (+51.5%).
- The International Monetary Fund (IMF) released their quarterly global economic outlook in October. Growth in most countries were lifted somewhat compared to their previous report in July. World output is now expected at 3.2% and 3.1% for 2025 and 2026, respectively. The US growth forecast was lifted to 2.0%, up from 1.9%. According to the IMF, risks to growth are still tilted to the downside.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 31 October 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	0.4	2.7	12.5	12.9	12.6	9.5
Australian Small Companies	1.8	14.3	21.7	12.8	8.8	8.5
International Shares (Unhedged)	3.3	6.4	22.4	20.9	17.4	12.9
International Shares (Hedged)	3.2	7.3	19.9	19.9	15.2	11.5
Emerging Markets (Unhedged)	4.9	11.9	28.5	19.6	7.9	7.6
Australian Property Securities	0.5	5.3	16.8	14.0	11.4	8.5
Global Property Securities (Hedged)	-0.8	3.3	0.9	5.4	5.1	
Global Listed Infrastructure (Hedged)	0.3	2.9	9.7			
Australian Bonds	0.3	0.7	6.2	3.9	-0.4	2.0
Global Bonds (Hedged)	0.7	2.0	4.7	4.0	-1.1	
Cash	0.3	0.9	4.2	4.2	2.7	
Change over the month						
AUD/USD	-0.77%	US$ 0.6551				

Past performance is not a reliable indicator of future performance.
Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market returned +0.4% for the month and around +12% for the year.

Although global equities generally remained buoyant, the Australian market showed a modest advance – with rotation from large-cap to smaller-cap stocks being one of the features.

The very modest gain suggests an Australian market that was hesitant rather than strongly bullish – likely reflecting mixed signals on domestic growth, inflation, and the global backdrop.

Strong performance from certain stocks (notably in commodities, gold-sensitive and smaller companies) highlights the importance of stock-selection and being alert to thematic exposures (e.g., lithium, gold) even when the index broadly is flat.

The best performing sector was Materials (+4.3%) on the back of higher commodity prices, followed by Energy (+3.7%) and Financials ex property (+1.5%). Resource companies stood out. Among the ASX100, Pilbara Minerals (+31%), Mineral Resources (+17.6%) and South32 (+15.7%) were the best performers.

The worst performing sectors were Information Technology (-8.4%), Consumer Discretionary (-6.8%) and Healthcare (-4.8%). IT was impacted by earnings and governance concerns at WiseTech Global, while Healthcare fell as CSL downgraded its earnings once again. Consumer Discretionary was also hurt by the Reserve Bank of Australia's (RBA) restrictive policy stance.

The macro narrative of elevated interest-rates, inflation stickiness and global growth uncertainty weighed on rate-sensitive sectors (property/REITs), discretionary and growth-oriented names.

Some strong individual stock gains supported performance; for example, Domino's Pizza Enterprises Ltd surged +35.9% in the month, while Pilbara Minerals Ltd gained +31% and Codan Ltd rose +22.8%.

Small caps returned +1.8% outperforming the broader index by around +1.2%. Over the 12 months the small caps sector has returned around +21.7%, outperforming the broader index by +9.2%.

Given this backdrop, emphasising exposure to selectively positioned materials and resources companies may make sense in an "Active 70/85". In addition, after several years of underperformance by small-caps, investors are starting to rotate in, seeking value and growth outside the mega-caps.

Global Markets

Global markets maintained positive momentum over October and ended on a strong note, returning around 3.3% (unhedged) and +3.2% (hedged), and +22.4% and 19.9% respectively, for the 12 months. EMs returned +4.9% for the month and +28.5% for the 12 months.

The U.S. S&P 500 gained approximately +2.3%, despite heightened volatility, helped by solid third quarter earnings numbers from companies. The Magnificent 7 (+4.9%) lifted the US market once again while the broader market also locked in gains (Russell 2000 Index: +1.8%) as investors continued to monitor several key events, including trade negotiations between the U.S. and China, the Federal government shutdown, and the U.S. Fed's policy announcement.

The STOXX Europe 600 rose +2.6%, as investors cheered recent Eurozone growth numbers which showed that the economy expanded by 1.3% year-on-year in 3Q25, slightly above market expectations. Spain led the major economies, followed by the Netherlands and France. The better-than-expected growth outcome eased pressure on the ECB to cut interest rates in the near term.

The UK FTSE All-Share rose +3.7% over the month, outperforming most developed peers. A 30bps fall in Gilt yields provided a tailwind to domestic and rate-sensitive sectors, while commodity strength supported the UK's mining sector. A softer sterling also added to returns by boosting the value of overseas earnings.

EM equities performed strongly returning +4.9% for the month and +28.5% for the year. China makes up 35% of the EM index and returned -3.9% for October as trade and tariff concerns and soft economic data weighed on sentiment.

Looking across the Asia Pacific region, Japan delivered solid performance up +7.9% as result of the election of Japan's first female Prime Minister with an agenda to expand fiscal and monetary policies.

Overall, October was broadly positive month for global markets, with equities and bonds both performing well. However, renewed market optimism has pushed U.S. equities back to near all-time highs, suggesting that much of the good news is already priced in. Against this backdrop, diversification beyond the highly concentrated U.S. market is a sound strategy, while maintaining portfolio protection should inflation pressures from tariffs finally emerge.

Bonds

During October, long-dated yields in major economies such as the U.S., U.K. and Germany observed some of their sharpest falls in years amid growing expectations of a rate cuts.

The U.S. Fed delivered its second 25-point cut for the year. While markets had previously priced in another near guaranteed cut in December, U.S. Fed Chair Jerome Powell took this firmly off the table with the hawkish words “a policy reduction at the December meeting is not a foregone conclusion…far from it” and clarified that “policy is not on a preset course”. As we write, the U.S. Government is within days of its current shut down becoming the longest in the country’s history, second only to 35 days in 2018. The situation certainly limits the data available to the U.S. Fed, forcing them to make decisions with a far more restricted view of the full economic picture.

The Bloomberg Global Aggregate Bond Index, a broad benchmark for sovereign, corporate and securitised debt, posted +0.7% and around +4.7% for the 12 months. Whilst the Australian Composite Bond Index returned +0.3% for the month and +6.2% for the 12 months.

Australian trimmed mean inflation for Q3 came in above expectations at 1.0%, rising at its fastest pace since Q1 in 2023. With this, like the U.S., widely anticipated expectations of a rate cut at the Reserve Bank’s next meeting faded, with the market shifting their expectations to May 2026.

In the investment-grade (IG) corporate market, yields and spreads were heavily influenced by rate expectations. One recent note describes the market as benefiting from “above-average yields, solid investor demand, and stable credit fundamentals” even as “tight spreads, rising event risk, and a slowing labour market” pose headwinds.

Corporate issuance has remained robust, with strong issuance from high-quality corporates and ongoing fund inflows into credit. That helps support demand for corporate bonds and keeps spreads relatively contained.

Corporate bonds continue to offer yield pick-up over sovereigns or governments, especially in a higher-yield environment. This supports their role in the “income generation” leg of a multi-asset portfolio. However, the higher starting point for yields limits the potential for capital-gains from spread compression, meaning risk-adjusted return expectations need to be tempered.

Active duration and credit spread management are increasingly useful, one cannot treat corporate credit as simply “carry pick-up” in a low-rate world.

Currencies and Commodity Markets

The US Dollar (USD) strengthened, or at least stabilised, after a period of weakness due to a combination of resilient U.S. economic data, risk-off flows, and a narrowing of monetary policy divergence.

Geopolitical and structural risk also entered FX dynamics. For example, increased safe-haven demand and weaker sentiment in some economies helped the USD on one side and hurt or pressured other currencies on the other.

The Euro underperformed the USD for much of the month, though European momentum improved somewhat, the upwards potential of EUR/USD remained constrained by weaker German industrial data and concerns about the Eurozone’s economic trajectory.

Sterling had a weak month. The UK currency fell by more than -2% against the USD over the month, driven by domestic fiscal concerns, sluggish growth and the global pivot towards the USD.

Commodity and “risk” currencies (AUD, NZD, CAD) had a mixed month. The Australian Dollar (AUD) proved somewhat resilient, supported by improving global sentiment and commodity flows, but the general bias favoured the USD.

Both gold and silver reached record highs during October 2025, spot gold rising to around US$4,381/oz in mid-October. Silver likewise surged to approximately US$54.47/oz at its peak.

Silver is in a catch-up trade climbing to US$48.55 per ounce, its highest level since May 2011. The metal benefited from its strong industrial demand profile, particularly in sectors such as renewable energy, solar panels, and AI-related wiring and connectors.

Several factors beyond commodity pricing contributed to October’s exceptional performance, namely:

- Geopolitical risk premium – demand for tangible assets.
- Currency debasement concerns – expectations of interest rate cuts driving precious metal demand.
- Supply chain security – preference for physical possession.
- Portfolio diversification – investors seeking allocations for risk management.

According to data published by aiSource, key broad commodity sectors posted the following returns in October: Energy +6.4%, Metals +5.0%, and Livestock -8.0%.

Outlook for Investment Markets

After a resilient 2025, the global economy is showing signs of moderate slowdown due to trade-related uncertainties. Initial data at the start of the year showed robust activity. Inflation in Asian economies was subdued, while it remained steady in the U.S. This apparent resilience, however, seems to be largely attributable to temporary factors such as front-loading of trade and investment and inventory management strategies, rather than fundamental strength. These factors are slowly fading, leading to weaker data. The front-loading is unwinding, and labour markets are softening. Pass-through of tariffs to U.S. consumer prices, previously muted, appears increasingly likely. Advanced economies, traditionally reliant on immigration, are seeing sharp declines in net labour inflows, with potential detrimental implications on output, demand and price.

Based on IMF projections, global growth is projected to slow from 3.3% in 2024 to 3.2% in 2025 and to 3.1% in 2026. This is an improvement relative to the July update — but cumulatively 0.2% below forecasts made before the policy shifts in the October 2024. Advanced economies are forecast to grow about 1.5% in 2025–26, with the U.S. slowing to 2.0%. Emerging market and developing economies are projected to moderate to just above 4.0%. Global inflation is expected to decline to 4.2% in 2025 and to 3.7% in 2026, with notable regional variation — above-target inflation in the U.S., where risks remain tilted to the upside, and more subdued inflation across much of the rest of the world.

Lower inflation forecasts for 2026 support the continuation of central bank interest rate easing; but the stickiness of core inflation (excluding volatile items such as food and energy) remains a potential constraint. Lower oil prices are expected to exert downward pressure on headline consumer price inflation, but core rates remain uncomfortably high in many advanced economies — the eurozone is a notable exception. In the US and Japan, core inflation is over 3%, while the rate in the UK has been closer to 4% in recent months.

Lower central bank policy rates are unlikely to be a game-changer for growth. Even if we assume that improving inflation prospects allow central banks to cut rates rather swiftly, investors ought to be wary of over-optimism.

Where to Invest?

- We continue to experience solid economic growth, easing inflation, and supportive liquidity, which are propelling equities higher and keeping credit spreads tight.
- However, systematic risks affecting the entire financial system like geopolitical tensions, monetary policy errors, and earnings disappointments, still loom.
- The longer the bull market lasts, and the more investors believe it is permanent, the more important it becomes to maintain portfolio diversification and consider protecting capital from systemic shocks.
- Systemic risk can result in asset class correlations rising during periods of stress, even a “balanced” portfolio (equities + bonds + alternatives) may be exposed to systemic shocks.
- Investors should consider building protection into a diversified portfolio by incorporating strategies that own option-like instruments that benefit from volatility or large market movements.
- In addition, portfolio protection can be potentially obtained by increasing exposure to long-duration bonds or mortgage-backed securities with a positive convexity. Positive convexity refers to the characteristic of a bond (or fixed income instrument) where its price increases at an increasing rate as yields fall and decreases at a decreasing rate as yields rise).
- Buying protection should not be seen as a cost (reduction in portfolio’s investment return) but the equivalent of locking in long-term insurance while the weather is calm, and a source of liquidity and opportunity when stress returns.
- The longer markets remain “calm”, the more valuable insurance becomes.

Atchison

Atchison

Level 4, 125 Flinders Lane,
Melbourne VIC 3000
Level 3, 63 York Street,
Sydney, NSW 2000

P: +61 (0) 3 9642 3835
enquiries@atchison.com.au
ww.atchison.com.au

ABN: 58 097 703 047
AFSL Number: 230846

To obtain further information,
please contact:

Jake Jodlowski
Principal
P: +61 3 9642 3835
E: jake@atchison.com.au

Mishan Dahia
Investment Analyst
P: +61 3 9642 3835
E: mishan@atchison.com.au